

BEACH ORANGETHORPE HOTEL III, LLC
PO BOX 489
BUENA PARK, CA 90621-0489

DUONG VAN CHAU
205 CAMPBELL AVE.,
ALTOONA, PA 16602

DEAR MEMBER:

ATTACHED IS YOUR COPY OF THE 2019 PARTNERSHIP FORM 1065 SCHEDULE K-1. THIS SCHEDULE SUMMARIZES YOUR INFORMATION FROM THE PARTNERSHIP. THIS INFORMATION HAS BEEN PROVIDED TO THE INTERNAL REVENUE SERVICE WITH THE U.S. PARTNERSHIP RETURN OF INCOME, FORM 1065.

THE INFORMATION PROVIDED ON THIS SCHEDULE SHOULD BE ENTERED ON YOUR TAX RETURN, IN ACCORDANCE WITH THE INSTRUCTIONS IN SCHEDULE K-1, PAGE 2. IF YOUR RETURN WILL BE PREPARED BY YOUR ACCOUNTANT OR ATTORNEY, YOU SHOULD PROVIDE A COPY OF THIS SCHEDULE TO THE PREPARER WITH YOUR OTHER TAX INFORMATION.

THE IRS INSTRUCTIONS FOR ENTERING THIS SCHEDULE K-1 INFORMATION ON YOUR INCOME TAX RETURN ARE AVAILABLE FROM OUR WEBSITE AT WWW.CBIZ.COM/K-1.

IF YOU HAVE A LOSS ON YOUR SCHEDULE K-1, THE LOSS MAY BE LIMITED BY THE AT RISK PROVISIONS OF SECTION 465 OF THE INTERNAL REVENUE CODE, THE PASSIVE LOSS LIMITATIONS OF SECTION 469, OR BY BASIS LIMITATIONS. PLEASE CONSULT YOUR TAX ADVISOR FOR ADDITIONAL GUIDANCE.

WE THANK YOU FOR THE OPPORTUNITY TO SERVE YOU.

VERY TRULY YOURS,

BEACH ORANGETHORPE HOTEL III, LLC

**Schedule K-1
(Form 1065)**Department of the Treasury
Internal Revenue Service**2019**

For calendar year 2019, or tax year

☐ Final K-1☐ Amended K-1

OMB No. 1545-0123

**Partner's Share of Income, Deductions,
Credits, etc.**

▶ See separate instructions.

Part I Information About the Partnership**A** Partnership's employer identification number
81-1757974**B** Partnership's name, address, city, state, and ZIP code**BEACH ORANGETHORPE HOTEL III, LLC**
PO BOX 489
BUENA PARK, CA 90621-0489**C** IRS Center where partnership filed return ▶
E-FILE**D** ☐ Check if this is a publicly traded partnership (PTP)**Part II Information About the Partner****E** Partner's SSN or TIN (Do not use TIN of a disregarded entity. See inst.)
160-92-9181**F** Name, address, city, state, and ZIP code for partner entered in E. See instructions.**DUONG VAN CHAU**
205 CAMPBELL AVE.,
ALTOONA, PA 16602**G** ☐ General partner or LLC
member-manager☒ Limited partner or other LLC
member**H1** ☒ Domestic partner☐ Foreign partner**H2** ☐ If the partner is a disregarded entity (DE), enter the partner's:

TIN _____ Name _____

I1 What type of entity is this partner? **INDIVIDUAL****I2** If this partner is a retirement plan (IRA/SEP/Keogh/etc.), check here ☐**J** Partner's share of profit, loss, and capital:

	Beginning	Ending
Profit	3.4480381 %	3.4480381 %
Loss	3.4480381 %	3.4480381 %
Capital	3.4480381 %	3.4480381 %

Check if decrease is due to sale or exchange of partnership interest ☐**K** Partner's share of liabilities:

	Beginning	Ending
Nonrecourse	\$ 1,083.	\$ 7,956.
Qualified nonrecourse financing	\$	\$
Recourse	\$ 0.	\$ 0.

☐ Check this box if Item K includes liability amounts from lower tier partnerships.**L Partner's Capital Account Analysis
SEE STATEMENT**

Beginning capital account	\$ 519,199.
Capital contributed during the year	\$
Current year net income (loss)	\$ 14,756.
Other increase (decrease) (attach explanation)	\$ -145.
Withdrawals & distributions	\$ (7,176.)
Ending capital account	\$ 526,634.

M Did the partner contribute property with a built-in gain or loss?☐ Yes ☒ No If "Yes," attach statement. See instructions.**N Partner's Share of Net Unrecognized Section 704(c) Gain or (Loss)**

Beginning	\$
Ending	\$

**Part III Partner's Share of Current Year Income,
Deductions, Credits, and Other Items**

1 Ordinary business income (loss) 14,755.	15 Credits
2 Net rental real estate income (loss)	16 Foreign transactions
3 Other net rental income (loss)	
4a Guaranteed payments for services	
4b Guaranteed payments for capital	
4c Total guaranteed payments	
5 Interest income 1.	17 Alternative min tax (AMT) items
6a Ordinary dividends	18 Tax-exempt income and nondeductible expenses
6b Qualified dividends	C* 145.
6c Dividend equivalents	
7 Royalties	19 Distributions A 7,176.
8 Net short-term capital gain (loss)	20 Other information
9a Net long-term capital gain (loss)	A 1.
9b Collectibles (28%) gain (loss)	
9c Unrecaptured section 1250 gain	
10 Net section 1231 gain (loss)	
11 Other income (loss)	
12 Section 179 deduction	
13 Other deductions	
14 Self-employment earnings (loss)	
21 ☐ More than one activity for at-risk purposes*	
22 ☐ More than one activity for passive activity purposes*	

*See attached statement for additional information.

For IRS Use Only

SCHEDULE K-1 NONDEDUCTIBLE EXPENSES, BOX 18, CODE C

DESCRIPTION	PARTNER FILING INSTRUCTIONS	AMOUNT
PENALTIES		145.
TOTAL TO SCHEDULE K-1, BOX 18, CODE C		145.

SCHEDULE K-1 CURRENT YEAR NET INCOME (LOSS) AND
OTHER INCREASES(DECREASES)

DESCRIPTION	AMOUNT	TOTALS
ORDINARY INCOME (LOSS)	14,755.	
INTEREST INCOME	1.	
SCHEDULE K-1 INCOME SUBTOTAL		14,756.
NET INCOME (LOSS) PER SCHEDULE K-1		14,756.
NONDEDUCTIBLE EXPENSES		-145.
TOTAL OTHER INCREASES OR DECREASES		-145.

SCHEDULE K-1 ITEM L. PARTNER'S CAPITAL ACCOUNT ANALYSIS

TAX BASIS

This list identifies the codes used on Schedule K-1 for all partners and provides summarized reporting information for partners who file Form 1040 or 1040-SR. For detailed reporting and filing information, see the separate Partner's Instructions for Schedule K-1 and the instructions for your income tax return.

	Report on	Code	Report on
1. Ordinary business income (loss). Determine whether the income (loss) is passive or nonpassive and enter on your return as follows.		H Undistributed capital gains credit	Schedule 3 (Form 1040 or 1040-SR), line 13, box a
Passive loss	See the Partner's Instructions	I Biofuel producer credit	See the Partner's Instructions
Passive income	Schedule E, line 28, column (h)	J Work opportunity credit	
Nonpassive loss	See the Partner's Instructions	K Disabled access credit	
Nonpassive income	Schedule E, line 28, column (k)	L Empowerment zone employment credit	
2. Net rental real estate income (loss)	See the Partner's Instructions	M Credit for increasing research activities	See the Partner's Instructions
3. Other net rental income (loss)		N Credit for employer social security and Medicare taxes	
Net income	Schedule E, line 28, column (h)	O Backup withholding	
Net loss	See the Partner's Instructions	P Other credits	
4a. Guaranteed payment Services	See the Partner's Instructions	16. Foreign transactions	
4b. Guaranteed payment Capital	See the Partner's Instructions	A Name of country or U.S. possession	
4c. Guaranteed payment Total	See the Partner's Instructions	B Gross income from all sources	Form 1116, Part I
5. Interest income	Form 1040 or 1040-SR, line 2b	C Gross income sourced at partner level	
6a. Ordinary dividends	Form 1040 or 1040-SR, line 3b	Foreign gross income sourced at partnership level	
6b. Qualified dividends	Form 1040 or 1040-SR, line 3a	D Reserved for future use	
6c. Dividend equivalents	See the Partner's Instructions	E Foreign branch category	
7. Royalties	Schedule E, line 4	F Passive category	Form 1116, Part I
8. Net short-term capital gain (loss)	Schedule D, line 5	G General category	
9a. Net long-term capital gain (loss)	Schedule D, line 12	H Other	
9b. Collectibles (28%) gain (loss)	28% Rate Gain Worksheet, line 4 (Schedule D Instructions)	Deductions allocated and apportioned at partner level	
9c. Unrecaptured section 1250 gain	See the Partner's Instructions	I Interest expense	Form 1116, Part I
10. Net section 1231 gain (loss)	See the Partner's Instructions	J Other	Form 1116, Part I
11. Other income (loss)		Deductions allocated and apportioned at partnership level to foreign source income	
Code		K Reserved for future use	
A Other portfolio income (loss)	See the Partner's Instructions	L Foreign branch category	
B Involuntary conversions	See the Partner's Instructions	M Passive category	Form 1116, Part I
C Sec. 1256 contracts & straddles	Form 6781, line 1	N General category	
D Mining exploration costs recapture	See Pub. 535	O Other	
E Cancellation of debt		Other information	
F Section 743(b) positive adjustments		P Total foreign taxes paid	Form 1116, Part II
G Section 965(a) inclusion		Q Total foreign taxes accrued	Form 1116, Part II
H Income under subpart F (other than inclusions under sections 951A and 965)	See the Partner's Instructions	R Reduction in taxes available for credit	Form 1116, line 12
I Other income (loss)		S Foreign trading gross receipts	Form 8873
12. Section 179 deduction	See the Partner's Instructions	T Extraterritorial income exclusion	Form 8873
13. Other deductions		U through V	Reserved for future use
A Cash contributions (60%)		W Section 965 information	
B Cash contributions (30%)		X Other foreign transactions	See the Partner's Instructions
C Noncash contributions (50%)	See the Partner's Instructions	17. Alternative minimum tax (AMT) items	
D Noncash contributions (30%)		A Post-1986 depreciation adjustment	
E Capital gain property to a 50% organization (30%)		B Adjusted gain or loss	See the Partner's Instructions and the Instructions for Form 6251
F Capital gain property (20%)		C Depletion (other than oil & gas)	
G Contributions (100%)		D Oil, gas, & geothermal - gross income	
H Investment interest expense	Form 4952, line 1	E Oil, gas, & geothermal - deductions	
I Deductions - royalty income	Schedule E, line 19	F Other AMT items	
J Section 59(e)(2) expenditures	See the Partner's Instructions	18. Tax-exempt income and nondeductible expenses	
K Excess business interest expense	See the Partner's Instructions	A Tax-exempt interest income	Form 1040 or 1040-SR, line 2a
L Deductions - portfolio (other)	Schedule A, line 16	B Other tax-exempt income	See the Partner's Instructions
M Amounts paid for medical insurance	Schedule A, line 1, or Schedule 1 (Form 1040 or 1040-SR), line 16	C Nondeductible expenses	See the Partner's Instructions
N Educational assistance benefits	See the Partner's Instructions	19. Distributions	
O Dependent care benefits	Form 2441, line 12	A Cash and marketable securities	
P Preproductive period expenses	See the Partner's Instructions	B Distribution subject to section 737	See the Partner's Instructions
Q Commercial revitalization deduction from rental real estate activities	See Form 8582 Instructions	C Other property	
R Pensions and IRAs	See the Partner's Instructions	20. Other information	
S Reforestation expense deduction through U	See the Partner's Instructions	A Investment income	Form 4952, line 4a
V Section 743(b) negative adjustments	Reserved for future use	B Investment expenses	Form 4952, line 5
W Other deductions	See the Partner's Instructions	C Fuel tax credit information	Form 4136
X Section 965(c) deduction		D Qualified rehabilitation expenditures (other than rental real estate)	
14. Self-employment earnings (loss)		E Basis of energy property through G	See the Partner's Instructions
Note: If you have a section 179 deduction or any partner-level deductions, see the Partner's Instructions before completing Schedule SE.		H Recapture of investment credit	See Form 4255
A Net earnings (loss) from self-employment	Schedule SE, Section A or B	I Recapture of other credits	See the Partner's Instructions
B Gross farming or fishing income	See the Partner's Instructions	J Look-back interest - completed long-term contracts	See Form 8697
C Gross non-farm income	See the Partner's Instructions	K Look-back interest - income forecast method	See Form 8866
15. Credits		L Dispositions of property with section 179 deductions	
A Low-income housing credit (section 42(j)(5)) from pre-2008 buildings		M Recapture of section 179 deduction	
B Low-income housing credit (other) from pre-2008 buildings		N Interest expense for corporate partners	
C Low-income housing credit (section 42(j)(5)) from post-2007 buildings	See the Partner's Instructions	O through Y	
D Low-income housing credit (other) from post-2007 buildings		Z Section 199A information	
E Qualified rehabilitation expenditures (rental real estate)		AA Section 704(c) information	
F Other rental real estate credits		AB Section 751 gain (loss)	See the Partner's Instructions
G Other rental credits		AC Section 1(h)(5) gain (loss)	
		AD Deemed section 1250 unrecaptured gain	
		AE Excess taxable income	
		AF Excess business interest income	
		AG Gross receipts for section 59A(e)	
		AH Other information	

TAXABLE YEAR

2019

Member's Share of Income, Deductions, Credits, etc.

929421 12-18-19
CALIFORNIA SCHEDULE

K-1 (568)

TYB 01-01-2019 TYE 12-31-2019
160-92-9181
DUONGVAN CHAU

205 CAMPBELL AVE
ALTOONA PA 16602

81-1757974 201604810284
BEACH ORANGETHORPE HOTEL III LLC

PO BOX 489
BUENA PARK CA 90621-0489

A What type of entity is this member? • See instructions.

- (1) ☒ Individual (4) ☐ C Corporation (7) ☐ LLP (10) ☐ Exempt Organization
 (2) ☐ S Corporation (5) ☐ General Partnership (8) ☐ LLC (11) ☐ Disregarded Entity
 (3) ☐ Estate/Trust (6) ☐ Limited Partnership (9) ☐ IRA/Keogh/SEP

B Is this member a foreign member? • ☐ Yes ☒ No

C Enter member's percentage (without regard to special allocations) of:

	(i) Beginning		(ii) Ending	
Profit	3.4480	%	3.4480	%
Loss	3.4480	%	3.4480	%
Capital	3.4480	%	3.4480	%

D Member's share of liabilities:

	(i) Beginning		(ii) Ending	
Nonrecourse	\$ 1,083	.00	\$ 7,956	.00
Qualified nonrecourse financing	\$	.00	\$	.00
Recourse	\$ 0	.00	\$ 0	.00

E Reportable transaction or tax shelter registration number(s)

F (1) Check here if this is a publicly traded partnership as defined in IRC Section 469(k)(2) ☒ ☐

(2) Check here if this is an investment partnership (R&TC Sections 17955 and 23040.1) ☒ ☐

G Check here if this is: • (1) ☐ A final Schedule K-1 (568) (2) ☐ An amended Schedule K-1 (568)

H Is this member a resident of California? • ☐ Yes ☒ No

Member's name

DUONG VAN CHAU

Member's identifying number

160-92-9181

I Analysis of member's capital account: Check the box • (1) ☒ Tax Basis (2) ☐ GAAP (3) ☐ IRC Section 704(b) Book (4) ☐ Other (explain)

(a) Capital account at beginning of year	(b) Capital contributed during year	(c) Member's share of line 3, line 4, and line 7 Form 568, Schedule M-2	(d) Withdrawals and distributions	(e) Capital account at end of year, combine column (a) through column (d)
• 519,199 •		• 14,611 •	• (7,176) •	• 526,634 •

Caution: Refer to Member's Instructions for Schedule K-1 (568) before entering information from this schedule on your California return.

	(a) Distributive share items	(b) Amounts from federal Schedule K-1 (1065)	(c) California adjustments	(d) Total amounts using California law. Combine col. (b) and col. (c)	(e) California source amounts and credits
Income (Loss)	1 Ordinary income (loss) from trade or business activities	14,755	27	• 14,782 •	▶ 14,782
	2 Net income (loss) from rental real estate activities			•	▶
	3 Net income (loss) from other rental activities			⊙	⊙
	4 Guaranteed payments to members			•	▶
	5 Interest income	1		• 1 •	▶ 1
	6 Dividends			•	▶
	7 Royalties			•	▶
	8 Net short-term capital gain (loss) ...			•	▶
	9 Net long-term capital gain (loss)			•	▶
	10 a Total gain under IRC Section 1231 (other than due to casualty or theft)			•	▶
	b Total loss under IRC Section 1231 (other than due to casualty or theft)			•	▶
	11 a Other portfolio income (loss). Attach schedule			•	▶
	b Total other income			•	▶
	c Total other loss			•	▶
Deductions	12 Expense deduction for recovery prop. (IRC Section 179)				
	13 a Charitable contributions				
	b Investment interest expense				
	c 1 Total expenditures to which an IRC Section 59(e) election may apply ...				
	2 Type of expenditures				
	d Deductions related to portfolio income				
	e Other deductions				

Member's name

DUONG VAN CHAU

Member's identifying number

160-92-9181

	(a) Distributive share items	(b) Amounts from federal Schedule K-1 (1065)	(c) California adjustments	(d) Total amounts using California law. Combine col. (b) and col. (c)	(e) California source amounts and credits
Credits	15 a Total withholding (equals amount on Form 592-B if calendar year LLC)			•	▶
	b Low-income housing credit				
	c Credits other than line 15b related to rental real estate activities				
	d Credits related to other rental activities				
	e Nonconsenting nonresident member's tax paid by LLC				
	f Other credits - Attach required schedules or statements				
Alternative Minimum Tax (AMT) items	17 a Depreciation adjustment on property placed in service after 1986			⊙	⊙
	b Adjusted gain or loss				
	c Depletion (other than oil & gas)				
	d Gross income from oil, gas, and geothermal properties				
	e Deductions allocable to oil, gas, and geothermal properties				
	f Other alternative minimum tax items				
Tax-exempt income and Nondeductible Expenses	18 a Tax-exempt interest income				
	b Other tax-exempt income				
	c Nondeductible expenses STMT	145	27	172	172
Distributions	19 a Distributions of money (cash and marketable securities)	7,176		⊙ 7,176	
	b Distributions of property other than money			⊙	
Other Information	20 a Investment income	1		1	1
	b Investment expenses				
	c Other information. See instructions ...	STMT			

Member's name

DUONG VAN CHAU

Member's identifying number

160-92-9181

Other Member Information**Table 1** - Member's share of nonbusiness income from intangibles (source of income is dependent on residence or commercial domicile of the member):

Interest ... \$		Sec. 1231 Gains/Losses \$		Capital Gains/Losses \$	
Dividends \$		Royalties		Other	

FOR USE BY MEMBERS ONLY - See instructions.

Table 2 - Member's share of distributive items.

- A. Member's share of the LLC's business income. See instructions. \$
- B. Member's share of nonbusiness income from real and tangible personal property sourced or allocable to California.

Capital Gains/Losses	\$	Rents/Royalties	\$
Sec. 1231 Gains/Losses	\$	Other	\$

- C. Member's distributive share of the LLC's property, payroll, and sales:

Factors	Total within and outside California	Total within California
Property: Beginning	\$	\$
Property: Ending	\$	\$
Property: Annual rent expense	\$	\$
Payroll	\$	\$
Sales	\$	\$

CA SCHEDULE K-1 COLUMN C RECONCILIATION

DESCRIPTION	AMOUNT
ORDINARY INCOME (LOSS)	14,755.
INTEREST INCOME	1.
NONDEDUCTIBLE EXPENSES	<145.>
TOTAL TO SCHEDULE K-1 ANALYSIS OF CAPITAL ACCOUNT, COLUMN C	14,611.

CA SCHEDULE K-1 NONDEDUCTIBLE EXPENSES

DESCRIPTION	AMOUNT
PENALTIES	145.
STATE INCOME/FRANCHISE TAXES	27.
TOTAL TO SCHEDULE K-1, LINE 18C	172.

CA SCHEDULE K-1 AGGREGATE GROSS RECEIPTS FOR AMT EXCLUSION

DESCRIPTION	AMOUNT
GROSS SALES LESS RETURNS	14,999.
INTEREST	1.
TOTAL	15,000.